

FWRG pitch deck

PITCH — FWRG — VERDICT

PROPOSED — PENDING ADJUDICATION

First Watch Restaurant Group (Nasdaq: FWRG), \$12.05, no position held, no orders working. Both benches finished; neither bench found a reason to walk away entirely, and neither bench's headline number survived contact with the other. The two benches disagree on one thing only — whether we buy anything before the November 12 investor day — and that disagreement is what the adjudicator needs to settle.

What we believe

First Watch runs 665 breakfast-and-lunch restaurants (586 of them company-owned, the rest franchised). It is growing revenue about 16% a year, adding roughly 55 restaurants a year, and it earns a healthy 18.8% profit margin at the restaurant level, which is expanding rather than shrinking. Its private-equity sponsor (Advent) has finished selling — the last ownership filing went from 14,689,784 shares to zero — so the multi-year supply of stock hitting the market from that seller is genuinely over.

The stock has fallen 37% from its 52-week high of \$19.08. The reason it screens as expensive is that the company is spending heavily to build new restaurants, and the accounting depreciation from all those new buildings crushes reported earnings. Reported earnings put the stock at roughly 43x — and even that number is fake, because 85% of the last twelve months' reported profit came from a single one-time, non-cash tax item. Strip that out and reported earnings are near zero.

The underlying belief: the business generates real cash — about \$128M a year of operating cash flow — and a meaningful chunk of the spending that makes it look unprofitable is *growth* spending the company could stop tomorrow. What you'd actually earn if you stopped growing is somewhere in the neighborhood of \$39M–\$59M a year against a ~\$750M market value, or roughly 13x–19x. That is not a bargain. It is a fair-to-slightly-cheap price for a mid-teens grower whose reported numbers will look bad for two more years for mechanical reasons.

That last paragraph is a demotion from where this idea started. The original pitch claimed you were paying about 10x. You are not.

What the market believes

The market is not confused about this company, and it is not ignoring it. Eleven analysts cover it, the consensus rating is Strong Buy, and the average price target is about \$19.30 — 60% above today's price. **The street already publishes our thesis.** They already look through the depreciation; they already model the cash inflection.

And the stock fell 37% anyway.

So what the market actually believes is narrower than “this is a bad company.” Three things are visible in the price:

1. **The cash inflection is a 2027 story with no trigger before then.** Depreciation is growing 24.6% a year while profits grow 13.5%, so reported earnings get *worse* through 2027. Anyone screening on reported profitability keeps rejecting this stock for two more years.
2. **The balance sheet is doing work it shouldn't have to.** Management said out loud on the earnings call that “maintaining these long-term unit growth targets has required us to access our credit facility.” The revolver is 56% drawn (\$70.0M of \$125.0M, \$52.5M left, costing 7.24%), against \$145–150M of annual capital spending. Then they slowed the growth plan.
3. **11.75% of the shares are sold short** (7.14M shares), and institutional ownership at 106.9% means the stock is heavily lent out. A real contingent of professionals is positioned against it.

Why we might have edge

Honestly: **thin, and in the same direction as everyone else.** That is the weakest shape an edge can have. Here is what is left after both benches:

- **The reported-earnings distortion is worse than the screens capture.** Not just the depreciation drag — the last twelve months of reported profit is 85% a one-time \$10.7M non-cash tax benefit from recognizing a tip-credit deferred tax asset. On a clean basis reported profit is about \$7.1M. Any mechanical value or quality screen is rejecting this name on a number that has almost nothing to do with the business. That's a durable reason a fair-priced business stays fair-priced instead of re-rating.
- **The forced-seller overhang is genuinely, verifiably gone.** We checked this rather than assumed it. The sponsor distribution completed in 2025; there is no follow-on offering in the filing record and no lockup left to expire. A lot of “cheap post-IPO grower” stories are really just “sponsor still selling” stories. This one isn't, anymore.
- **A specific, dated, mispriced event.** Management's own August 4 investor deck lays out a long-term growth algorithm of 11–14% profit growth off this year's \$134.5M guide — that's \$149–153M for 2027. The street models \$161.5M. The gap requires 70–90 basis points of margin expansion where management's own arithmetic implies 10–20. On November 12 in Boston, management presents its new long-term strategic plan. One of those two numbers is going to move. We know which side each of them is on, and we know the date.
- **Cost inputs just inverted.** Commodity costs are running –1.6%. An August-set long-term algorithm plausibly doesn't embed that. This is the single named mechanism under which the street's higher number turns out to be right.

Why it might be priced in

This deserves more space than the edge section, because it is stronger.

- **Consensus is already long our thesis, louder than we are.** Strong Buy, \$19.30 target, versus our own fair value of roughly \$14.40 (8x management's own 2027 profit number). We are not disagreeing with the market — we are agreeing with the market's direction and disagreeing about *how much*. That is a rounding-error edge.
- **The stock has already bounced 21% off its low of \$9.97.** Whatever maximum-pessimism entry existed, it was three dollars ago. This is not a falling knife we are catching; it is a partial recovery we are joining.
- **On the two conventional cheapness measures, the stock is priced consistently with a slowing grower, not a distressed one.** Enterprise value excluding leases is \$1,020M against \$134.5M of profit = 7.58x. Including the \$780.9M of leases against lease-inclusive profit = 7.89x. Both conventions agree. The hostile bench tried to break the cheapness claim and could not — but 7.6x is a normal multiple for a company that just cut its growth plan for balance-sheet reasons, not an anomaly.
- **The November 12 catalyst more likely cuts against us than for us.** If the investor day ratifies management's 11–14% algorithm, the street's \$161.5M comes down 5–8%, and the \$19.30 target comes down with it. The catalyst we're waiting for is more likely a downward reconciliation than an upward one.

What could go wrong

The pre-mortem. Three narratives, ranked by likelihood × damage.

Failure 1 — Maintenance spending turns out to be far higher than we assumed, and the whole cash story deflates.

Tripwire: YES. The entire thesis rests on one number nobody discloses: how much First Watch has to spend each year just to keep its existing 586 restaurants running and looking current. The bull case assumed \$48M. The hostile bench argued for \$88M (this year's depreciation run-rate, on the theory that leasehold improvements depreciate over the lease term, which *is* the re-spend period). The defending bench broke the \$88M number on internal consistency — if maintenance were \$88M, the leftover for new restaurants would imply building each new store for \$1.07–1.16M when both benches verified the actual build cost at \$1.8M. The honest band is \$50–65M. But nobody has *seen* the number. If the investor day discloses a re-image program at, say, \$250k a restaurant on an 8-year cycle across 586 units, that's \$18M — thesis intact. If it discloses a full remodel program at \$600k on a 7-year cycle, that's \$50M *on top of* routine upkeep and the thesis is dead. **Monitorable via:** the November 12 investor day deck (filed as an 8-K exhibit), and the FY26 10-K's capital-spending discussion in February 2027.

Failure 2 — The balance sheet, not the business, sets the timetable.

Tripwire: PARTIAL, and this is a real gap. The revolver is 56% drawn and costs 7.24%. Lease-adjusted leverage is around 4.6x. The Altman Z-score is 1.14, which is in the distress zone (this is a normal artifact for lease-heavy restaurant operators, but it is not nothing). The credit agreement has a "Total

Rent Adjusted Net Leverage Ratio” covenant — **and the required level is not disclosed in the quarterly filing.** Both benches went looking for it. Neither found it; the defending bench’s 10-K fetch truncated before the relevant section. So we know there is a covenant, we know roughly where the company sits, and we do not know where the line is. If a soft quarter plus continued capital spending pushes them toward it, the response is an equity raise or a further growth cut, either of which resets the stock lower regardless of whether the restaurants are doing fine. **Monitorable via:** the covenant level once we find it (10-K exhibit or credit agreement), quarterly revolver balance, any 8-K amending the facility. **The gap:** until we locate the required ratio, we are monitoring a distance to a line we can’t see.

Failure 3 — Customer traffic quietly deteriorates and we have no way to see it. (NO MONITORABLE TRIPWIRE)

This is the failure we cannot instrument, and it deserves to be named plainly.

Traffic is already running -0.4% , with sales growth carried by price. The whole demand leg of this thesis — “the business is undamaged” — rests on management’s own reporting of its own comparable sales, checked once a quarter, by them. Our independent sensors on this are all unavailable:

- Our restaurant-ratings tool needs a per-location address list for all 586 restaurants. We don’t have one. It returned “needs an address” on both attempts.
- Our reservation-exhaust tool doesn’t apply — First Watch is walk-in and waitlist, so there is no public booking surface to observe.
- No government statistical series covers breakfast-daypart restaurant traffic at the individual-company level. The pitch’s “brunch sector growing 11.5% ” claim could not be sourced to any primary series and carries **zero weight** in this deck.
- Our app-review tool did fire, weakly negative: review velocity $0.37/\text{day}$, with the recent cohort rating 4.64 against a 4.93 lifetime average. But people who bother to write reviews skew angrier as a matter of base rate, and a -0.29 -star gap on a 4.9 base is inside that bias. It cannot carry a verdict.
- Our building-permit tool returned zero First Watch permits in Austin for 2026 — which would be a striking result for a claimed growth market — except that tenant-improvement permits are routinely filed under the general contractor’s or landlord’s name, a known false-negative. Inconclusive.

Unknown-unknown class: measurement-gap blindness — we have no independent sensor on the single variable that drives the outcome. Every check we can run is either management-sourced or an unusable tool. If the breakfast daypart is structurally softening — a consumer trading down from a \$16 restaurant breakfast, a shift in remote-work patterns changing weekday morning traffic — we will learn about it from the same quarterly release everyone else reads, at the same moment, with no lead. There is no tripwire to arm because there is nothing to watch.

The reflexive and structural leg

Our own size: immaterial. A 1% starter is roughly \$150k against a \$750M company. We will not move this stock and we should not pretend our own flow is a risk. **However, average daily volume was not pulled by either bench — that check has not been done and must be run before any order goes in.** With 7.14M shares held short, liquidity is almost certainly adequate, but “almost certainly” is not a verified number.

Predicted flow — this one is real. Our proposed structure buys a small piece now and the larger piece after November 12. If the investor day is *good*, the 11.75% short base covers into it and we would be paying up for our own second tranche — bidding into flow we ourselves predicted. That is precisely the pattern our own flow discipline warns against. The mitigation is to accept that the second tranche has a price ceiling, not just a date, and to let it go unfilled if the pop is large.

Doctrine interaction — the uncomfortable one. Our clean-court rule says that when no bench produces a kill that threatens the *existence* of the thesis, we don’t go flat; we take a minimum starter. Neither bench produced an existence-class kill here. So this position would come into being partly because **our own rules mechanically produce a starter when the kills are about size and timing rather than survival** — not because anyone’s conviction is high. Both benches rated themselves 7/10, and both were rating the *kill* case. Nobody in this court argued hard *for* the position. That should be visible on the face of the deck, and it is.

Second doctrine interaction: we would be establishing a long position whose thesis is directionally identical to a Strong-Buy street consensus, at a fair-value estimate 25% *below* that street’s target. Our differentiated view is “less bullish than the bulls.” That is a legitimate stance, but it is not an edge, and it should not be sized as if it were.

If this position loses money, the most likely reason will be that the cost of keeping 586 existing restaurants current turns out to be \$80M+ a year rather than \$50–65M — a number nobody discloses and neither bench could measure — which erases the cash-earnings gap between us and the reported-earnings screens, leaving us long a fairly-priced, balance-sheet-constrained, mid-teens grower at 19x with consensus already crowded on the same side.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count and market cap	Live 10-Q cover page vs. the evidence pack	Pack and original brief both used 62,579,658 — a Q2-2025 figure. Actual: 61,712,435 shares at 7/31/26, plus 1,136,131 excluded anti-dilutive = ~62.85M fully diluted. Cap ~\$748M, not \$759M	YES — original brief was wrong

Claim	How checked	Found	Confirmed?
Stock comp expense	Live 10-Q vs. pack's stale figure	Brief used a stale \$2.259M quarter and projected \$9–10M/year. Actual first-half 2026 = \$7.049M , up 39.6% → \$14–15M/year, about 2.0% of market cap annually . Owner earnings drop another ~\$5M	YES — original brief understated by ~50%
“Reported P/E of 43” as the anchor	XBRL net income + Q4-25 results	The anchor is itself an artifact: trailing net income \$17.809M is 85% a \$10.7M one-time non-cash tax benefit . Clean figure ~\$7.1M. The “43x vs 10x” headline spread was never real in either direction	PARTIALLY — data confirmed; but this strengthens the screen-artifact mechanism while shrinking the rhetorical gap. Hostile bench tagged it as a kill; it cuts both ways
“Maintenance capex bounded three independent ways at \$48M”	Earnings transcript + capex guidance arithmetic	Hostile bench showed two of the three “bounds” are management’s own forward plan, and the self-funding pledge <i>algebraically solves for</i> the residual — a target used as a measurement. Sustained . But the “one source / circular” charge was overturned in part: the 10-K names “planned remodels” as a budgeted line, and the \$82k-per-restaurant peer benchmark is genuinely independent	PARTIALLY — the circularity is real; “no independent bound exists” is not
Hostile bench: “maintenance = depreciation = \$88M → 18.7x”	Internal consistency against a fact both benches verified	Fails . If maintenance were \$88M, the leftover for new builds implies \$1.07–1.16M per restaurant against a \$1.8M build cost that the hostile bench itself verified. Also treats depreciation as full replacement — a re-image is finishes and furniture, not a rebuild	NO — our hostile bench’s headline kill was wrong on magnitude, right on direction. Honest band: \$50–65M
Hostile bench’s fair value method	Read its own arithmetic	It valued the company at 7–8x — which is the multiple the stock trades at today (its own 7.58x). “The tape is inside our band, therefore fair” is true by construction. It accused the pitch of circular reasoning while committing the same error	NO — our hostile bench was circular. Symmetric error, correctly caught by the defending bench
Hostile bench’s “we’d be agreeing with consensus”	Read its own numbers	Self-contradictory: its own fair value of \$15 is 22% below the street’s \$19.30. That is disagreement, not agreement	NO — bench error
Hostile bench’s share-count consistency	Recomputed its fair-value ladder	Its 7x figure (\$12.05) uses the 62.85M diluted count; its 8x figure (\$14.75) implies the 61.5M basic count. Immaterial in size, but the ladder is internally inconsistent. On the diluted count throughout: 7x = \$12.04, 8x = \$14.43, 9x = \$16.82	NO — bench error, immaterial magnitude

Claim	How checked	Found	Confirmed?
Hostile bench's cash-conversion kill	Defending bench's decomposition	Fact confirmed: operating cash flow +3.9% on revenue +16.2%; conversion fell 106bp. But the cause is a smaller working-capital build, ~\$2M of it offset by higher stock comp — worth \$5–10M a year, not a break in the business. Also: the hostile bench conceded the half-year figure was “the clean read” and then quoted the single-quarter –30.4% as “the sharper one”	PARTIALLY — real but overstated in severity; selective framing noted
Defending bench's corrected owner-earnings band	Redid its subtraction	Its own arithmetic doesn't produce its stated band. \$128.2M – \$50M – \$14.5M – \$5M = \$58.7M (not \$64M); \$128.2M – \$65M – \$14.5M – \$10M = \$38.7M (not \$44M). Corrected: \$38.7–58.7M, midpoint ~\$49M → 12.7x–19.3x, center ~15.4x — worse than the “~14x” it reported, and closer to the hostile bench's view	NO — our defending bench's arithmetic was wrong; corrected here, and it argues for the smaller starter
“Brunch sector growing 11.5%”	Searched our government-series registry	No primary source exists at company granularity. Both benches independently graded it unverified	NO — carries zero weight in this deck
Aug 4 investor deck vs. the earnings call (do they tell different stories to different audiences?)	Compared the furnished deck against the August 11 call	Match. “~55 new restaurants annually” = 50 company + 5 franchise in both venues. No divergence	YES — clean
Advent/sponsor overhang gone	Ownership filings	13G/A shows 14,689,784 → 0. No follow-on in the filing record. No lockup remaining	YES
Insider/structural red flags	Ran the full detector atlas	14 detectors not-fired or checked clean. Our hostile bench omitted two entries (common-control merger accounting; Up-C/TRA structure) that the defending bench ran and cleared — a coverage gap in the hostile pass, now closed	YES — after the gap was closed
Market's reaction to the Aug 4 deck	Attempted price bars for Aug 4–5	Could not check. Broker contract-search permission was denied to <i>both</i> benches. The tape's actual reaction to the very document this thesis calls a catalyst is unverified. Second occurrence of this permission failure — this is an infrastructure problem, not a research finding	NO — open gap

PROPOSED ENTRY BANDS

Valuation ladder (all on 62.85M fully diluted shares, \$293M net debt, management's own long-term growth algorithm implying ~\$150M of 2027 profit):

Multiple	Fair value	Note
7x	\$12.04	≈ today's price. This is the hostile bench's floor.
8x	\$14.43	Our base case. +20% from here.
9x	\$16.82	Still below any growing-chain peer. No peer-multiple panel was pulled — this is an assumption, not a measurement.
9x on street's \$161.5M profit	\$18.77	The street's case, roughly.
Street price target	\$19.30	Consensus, Strong Buy, 11 analysts.

Cross-check: corrected cash earnings of \$38.7–58.7M against a \$748M cap = 12.7x–19.3x, center ~15.4x. **Fair. Not cheap.**

The benches disagree on exactly one thing, and it needs adjudication: - Hostile bench:

starter only, entered **after** November 12. No pre-investor-day money. - **Defending bench:** one-third of the starter now, two-thirds gated on November 12 — because waiting means paying up if the plan is good, and the reason for waiting is a *forecast of analyst behavior*, which is the weakest evidence grade in the whole court.

Proposed structure (blue's split, with red's dissent noted, adjudicator to break the tie):

Tranche	Trigger	Size	Basis
1 — starter	Limit \$12.60 or better , good until Nov 10	0.35% of book	At \$12.05 we are at the hostile bench's own 7x floor. If the most hostile reading of the facts says the stock is worth what it costs, the downside case is bounded, not open.
2 — the real position	After Nov 12 , limit \$14.40 or better , only if the investor day discloses a re-image program consistent with \$50–65M/year or less	0.65% of book	Buys the position once the one load-bearing unknown is disclosed. The \$14.40 ceiling exists so we don't chase our own predicted short-covering flow.
3 — distress add (optional)	\$10.20 or lower , and only if the decline carries no new negative information (no covenant news, no growth cut, no maintenance disclosure above \$75M)	+0.50%	Retest of the \$9.97 low. A price-only decline into a business that is still compounding at 16% is the only genuine bargain available here.
Intended maximum	—	1.50% of book	Sized against a \$14.40 base case, not

Tranche	Trigger	Size	Basis
			against a \$19.30 street target.

Trims and exits: - Trim half at \$16.80 (9x). Above that we are relying on multiple expansion, which is the assumption doing most of the work and the one nobody verified. - **Full exit at \$18.75** or on any credible take-private, whichever comes first. - **Exit on evidence, not price, if:** disclosed maintenance/re-image spending exceeds **\$75M/year**; or the credit covenant, once located, shows **less than 1.0 turn** of headroom; or an equity raise is announced. - **Do not enter at all if** the November 12 plan cuts the unit-growth target again.

Tax note: this would be a new, zero-basis-risk long. Nothing to harvest, no wash-sale interaction with existing holdings. Any trim before roughly September 2027 is short-term gain — size the trim rule accordingly.

Catalyst dates: - 2026-11-03 — Q3 earnings. **Date is derived from a data vendor, not confirmed by the company.** This must be confirmed against a company press release before anything is armed to it. - **2026-11-12 — Investor Day, Boston.** Confirmed on the Q2 earnings call. This is the binding event: the new long-term strategic plan, and the most likely venue for the maintenance-capex disclosure the entire thesis turns on. - **2029-01-05** — revolver maturity. Not a catalyst, but the outer bound on the balance-sheet question.

Before any order is placed: pull average daily volume (not done by either bench) and re-confirm the price from the live broker feed. Neither bench could reach the broker's contract search.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 10.2 (deck-provisional: Distress add (+0.50%) on a retest of the \$9.97 52-week low, permitted ONLY if the decline carries no n)
- filing watch: 8-K until 2027-02-28 (deck-provisional: Item 7.01 furnished investor-day presentation on/around 2026-11-12 — the most likely venue for the mai)
- dated pack FWRG|2026-11-12: FWRG: Investor Day, Boston — new long-term strategic plan; the binding event for both the maintenance-capex disclosure and the street-vs-man
- dated pack FWRG|2026-11-03: FWRG: Q3 FY26 earnings — vendor-derived date, NOT confirmed by any company release; must be confirmed before arming anything to it (date con
- dated pack FWRG|2029-01-05: FWRG: Revolver maturity (\$125M facility, currently 56% drawn at 7.24%) — outer bound on the balance-sheet question (date confirmed=True)

What remains unverified

1. **The maintenance/re-image capital spending number.** The one variable the entire valuation turns on. Range after both benches: \$50–65M/year, derived by arithmetic elimination,

not disclosed anywhere. Nobody has seen it.

2. **The credit covenant's required leverage level.** Known to exist ("Total Rent Adjusted Net Leverage Ratio"), level not stated in the quarterly filing. The defending bench's 10-K fetch truncated before reaching it. **This is a fixable gap that neither bench fixed.**
3. **The market's reaction to the August 4 investor deck.** The Aug 4–5 price bars were never retrieved (broker permission denied twice). We are calling a document a catalyst without knowing whether the market cared about the last one.
4. **Peer valuation multiples.** Both benches asserted that 8–9x is "below any growing-chain comparable." Neither pulled a peer panel. The multiple assumption does more work in this valuation than the capex assumption does, and it is the less-examined of the two.
5. **Customer traffic, independently.** No usable sensor exists — see Failure 3. Every demand data point in this deck is management-reported.
6. **The November 3 earnings date.** Vendor-derived, not company-confirmed.
7. **Whether new-restaurant development actually shifted into 2027 or was quietly cancelled.** Zero Austin permits in 2026 is suggestive and inconclusive; the general-contractor-name re-scan was never run.
8. **The \$10.7M Q4-2025 tax benefit.** Sourced to an earnings transcript. The defending bench could not independently confirm it in the filings.
9. **"Brunch sector +11.5%."** No primary source. Excluded entirely.
10. **Average daily volume / liquidity.** Not pulled. Almost certainly adequate; not verified.

Primary sources: [10-Q, Q2 FY2026](#) · [8-K, Aug 4 2026 — investor presentation exhibit](#) · [10-K FY2025](#) · [XBRL operating cash flow](#) · [XBRL depreciation & amortization](#) · [XBRL diluted shares](#)

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immediate_entry is deliberately null. The verdict is PROPOSED – PENDING ADJUDICATION, and the two benches disagree on precisely this point: the hostile bench permits no purchase before November 12, the defending bench permits one-third of the starter now. Auto-arming a buy would resolve that dispute by machine rather than by adjudicator. The tranche-1 level is carried as a price gate instead, marked do-not-fire.